

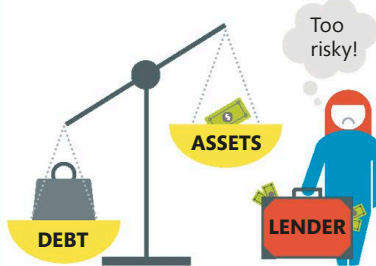


NEED TO KNOW

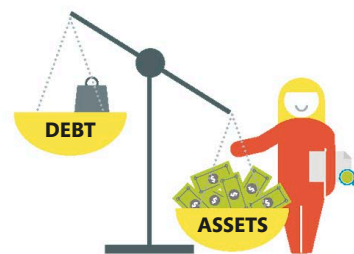
- **Creditors** Banks, loan companies, and individuals to whom a firm owes money.
- **Dividends** Profits paid to a company's shareholders.
- **Interest payment** The amount of interest charged on a loan. This is usually fixed and has to be paid on time in installments—even if the company is struggling and losing money.
- **Lifecycle** The “debt phase” a company is in. Start-ups tend to be funded by small bank loans and seed capital, turning to venture capital when they expand, which may involve issuing shares.

GETTING THE BALANCE RIGHT

A company that borrows money as opposed to issuing shares has fixed liabilities and a time table for repayment. It retains more independence as the creditors don't have a share of the profits or a say in how the company is run. There are also tax advantages—it is cheaper for a firm to bear the cost of debt than equity.



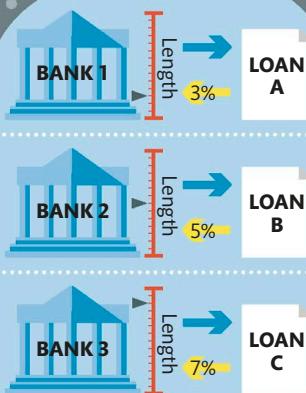
Too much debt, and it won't attract any lenders, as it is seen as too risky. But using debt, it is able to retain more of its profits.



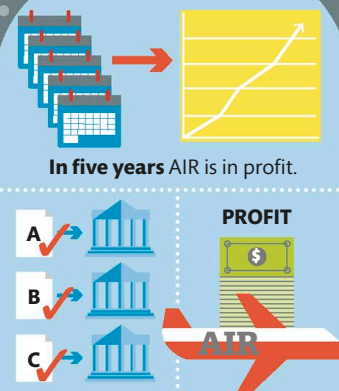
Too little debt, and it may be forced to give away too much control and profits to new shareholders.



In order to retain control of its own decisions, AIR opts for a bank loan rather than selling shares in its ownership.



The firm opts for a debt package from three different banks. Each charge different rates and terms. A contract is drawn up.



AIR does not need to pay any of its profit to its creditors. The company only has to repay each loan at the end of its respective term.